

PepsiCo: a high-quality franchise at a reset valuation

International strength and productivity support a recovery thesis, but North America volume, margin execution and cash conversion must improve.

Research posture: HOLD / ACCUMULATE ON WEAKNESS

Keep the existing 155-share position. At \$135.46, the stock offers a 4.37% forward yield and trades near 15.8x 2026 consensus core EPS. Add in measured tranches below roughly \$130 if North America share and volume continue to stabilize; demand a wider discount if the recovery stalls.

PRICE

\$135.46

2026E P/E

15.8x

FORWARD YIELD

4.37%

EVIDENCE CUT-OFF

Jul 20

1. Executive view and portfolio verdict

PepsiCo remains a wide-moat-quality business, but the stock's appeal now rests on a very specific recovery: international growth must remain durable while North America volume and margins stop deteriorating.

YOUR POSITION

155 shares

1.29% portfolio weight

POSITION VALUE

\$20,886

Average cost \$136.86

FORWARD INCOME

\$918/yr

At \$5.92 annualized dividend

Why own it

- Rare combination of global salty-snack leadership, scaled beverages and direct-store-delivery density.
- International organic revenue grew 7% in Q2, with 4% convenient-food and 5% international beverage volume growth.
- 2026 guidance calls for 2%-4% organic revenue growth and 5%-7% reported core EPS growth.
- 54 consecutive annual dividend increases; 2026 annualized dividend rose 4% to \$5.92.
- Valuation is materially less demanding than KO: PEP trades near 17.8x trailing GAAP EPS versus KO near 25.8x.

Why remain disciplined

- Q2 North America organic revenue declined 0.5%; beverage volume fell 4% and PFNA net revenue fell 2%.
- Core margin contracted 40 bps in Q2 as affordability investments and mix pressure absorbed productivity.
- Net debt is approximately \$42.5B, or about 2.2x 2026E EBITDA.
- 2025 cash dividends consumed about 93% of reported free cash flow, limiting flexibility.
- Health, GLP-1, private-label and retailer bargaining pressures can make slower North America growth structural rather than cyclical.

Portfolio conclusion. PEP is a useful defensive income and quality counterweight to your technology and financial holdings. At a 1.29% weight, it is not oversized; combined with KO, the direct soft-drink/snack exposure remains moderate. A reasonable near-term ceiling is roughly 1.5%-2.0% until North America execution strengthens.

2. Business model, history and segment economics

PepsiCo was created by the 1965 merger of Pepsi-Cola and Frito-Lay and later added Quaker and Gatorade. The result is not simply a beverage company; in 2025, convenient foods supplied 58% of revenue and beverages 42%. The company sells branded finished goods directly, sells concentrate to bottlers, licenses brands, and uses extensive warehouse and direct-store-delivery networks.

2025 segment	Revenue	Revenue mix	Reported segment profit	Profit margin
Foods N. America	\$27.5B	29.3%	\$6.2B	22.4%
Beverages N. America	\$28.2B	30.0%	\$1.1B	3.9%
International Beverage Franchise	\$5.0B	5.3%	\$1.8B	35.4%
EMEA	\$18.0B	19.2%	\$2.1B	11.7%
LatAm Foods	\$10.5B	11.2%	\$2.0B	19.1%
Asia Pacific Foods	\$4.6B	4.9%	\$0.4B	8.0%

Segment profit includes company-defined segment expenses and items affecting comparability; the figures are best used to show relative economics, not normalized margin. PFNA generated roughly 46% of segment profit before corporate costs despite only 29% of revenue.

Mix matters. Foods generally carry stronger route density and category economics; finished-goods beverages create higher reported revenue but lower margins than concentrate. The two portfolios share retailer relationships, merchandising, procurement, data and distribution capabilities.

3. Moat and competitive position

BRAND MOAT

Strong

Lay's, Doritos, Cheetos, Gatorade, Pepsi and other billion-dollar franchises

DISTRIBUTION MOAT

Strong

Route density, cold availability, direct-store delivery and bottler reach

SWITCHING COSTS

Moderate

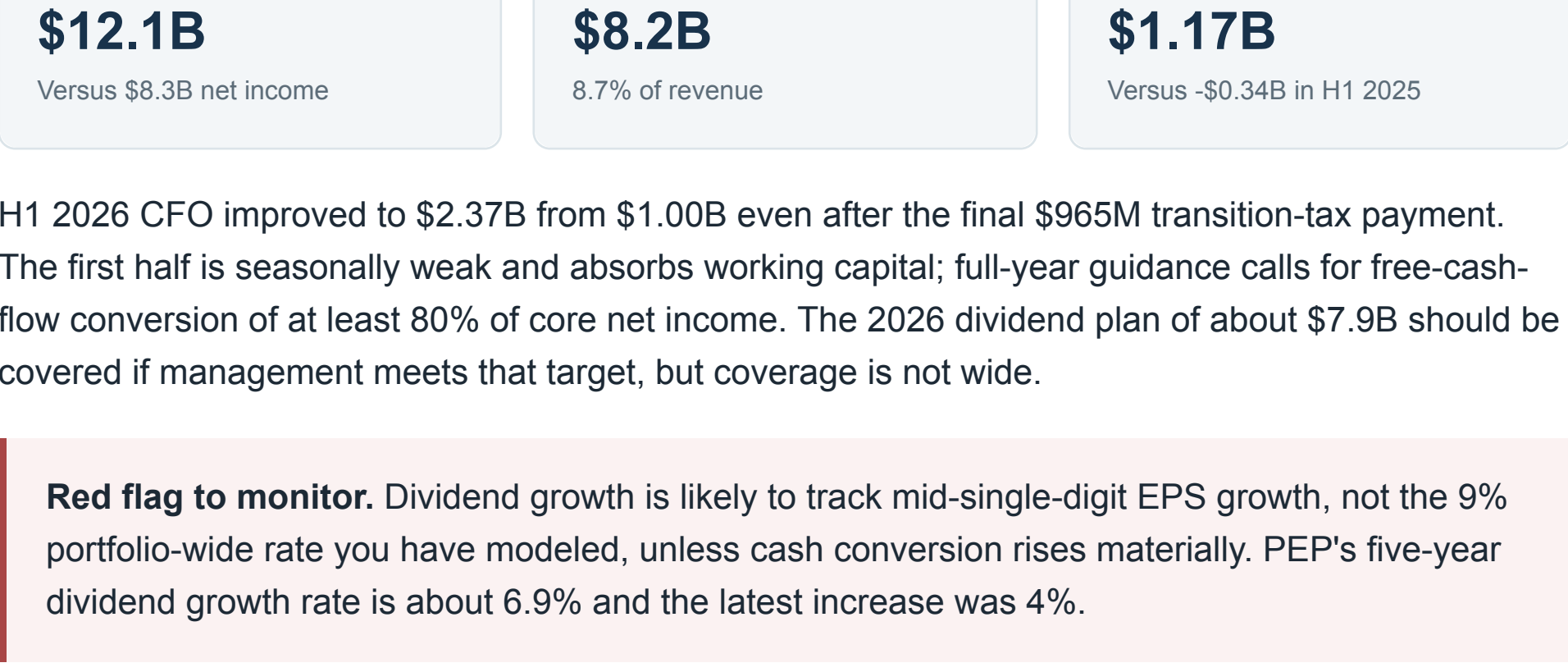
Low for consumers; higher operational friction for retailers and foodservice

PepsiCo's most defensible advantage is the interaction of brand pull and physical distribution. Retailers can substitute individual products, but recreating the company's shelf presence, delivery frequency, in-store merchandising, procurement scale and global marketing reach is much harder. The portfolio also supports innovation across permissible snacks, zero sugar, hydration, protein and energy.

Competitive set. Coca-Cola is the primary global beverage competitor; Mondelez, Kellanova/Mars, private label, local snack companies, Keurig Dr Pepper and emerging direct-to-consumer brands compete by category. Exact global share percentages are not comparable across fragmented definitions, so this report treats PepsiCo as a leading franchise rather than forcing a single market-share number.

Moat erosion signal. If affordability spending cannot restore unit volume and shelf momentum in North America, the issue may be weakened brand relevance or retailer power rather than a temporary price-elasticity problem.

4. Five-year financial deep dive



Owner earnings proxy = cash from operations - capital spending + proceeds from property, plant and equipment sales; this matches PepsiCo's non-GAAP free-cash-flow definition. ROIC is PepsiCo's non-GAAP calculation and is not available here on one consistent basis for every year.

REVENUE CAGR

4.3%

2021-2025

CORE EPS CAGR

6.8%

2021-2025

DIVIDEND CAGR

6.9%

2021 declared to 2026 annualized

Interpretation. The five-year record is solid but not uniformly strong. Revenue compounded at 4.3%, helped by price and inflation, while owner earnings compounded only 3.5%. Core EPS grew 6.8% annually, but 2025 was flat and reported earnings were depressed by impairments and restructuring. Gross margin has been stable around 53%-55%.

5. Earnings quality and cash conversion

Annual earnings quality is good: CFO exceeded net income in each of the last five fiscal years. Revenue recognition is conventional - control generally transfers on shipment or delivery - and PepsiCo monitors retailer inventory and product freshness. The more important concern is not aggressive accounting; it is the amount of recurring capital and working capital required to operate the manufacturing and distribution system.

2025 CFO

\$12.1B

Versus \$8.3B net income

2025 OWNER EARNINGS

\$8.2B

8.7% of revenue

H1 2026 OWNER EARNINGS

\$1.17B

Versus -\$0.34B in H1 2025

H1 2026 CFO improved to \$2.37B from \$1.00B even after the final \$965M transition-tax payment. The first half is seasonally weak and absorbs working capital; full-year guidance calls for free-cash-flow conversion of at least 80% of core net income. The 2026 dividend plan of about \$7.9B should be covered if management meets that target, but coverage is not wide.

Red flag to monitor. Dividend growth is likely to track mid-single-digit EPS growth, not the 9% portfolio-wide rate you have modeled, unless cash conversion rises materially. PEP's five-year dividend growth rate is about 6.9% and the latest increase was 4%.

6. Growth drivers and capital allocation

Growth drivers

- International scale.** International organic revenue grew 7% in Q2; developing and emerging markets account for about 80% of international revenue.
- Portfolio modernization.** Portion control, permissible snacks, hydration, zero sugar, protein and fiber address changing preferences.
- North America reset.** Lower price points, pack architecture, refreshed brands and improved value are intended to restore penetration and volume.
- Productivity.** Automation, digitalization, plant/network optimization and simplification support at least 100 bps of cumulative core operating margin expansion over three years.

Capital allocation

- Capex is guided below 5% of 2026 revenue after falling to \$4.4B in 2025.
- Dividend priority remains explicit; 2026 marks 54 consecutive annual increases.
- Only \$1.0B of buybacks is planned for 2026 despite a new \$10B authorization, appropriately subordinating repurchases to flexibility.
- 2025 acquisitions of poppi and Siete broaden faster-growth categories but add integration and return-on-capital risk.
- Net debt is about \$42.5B; debt rose in 2025 and again through H1 2026.

Financed-growth test. Current net leverage of about 2.2x 2026E EBITDA is manageable for the franchise, but the combination of acquisitions, high dividend cash use and elevated debt means future deals must be funded primarily by internally generated cash and demonstrably lift organic growth or returns.

7. Valuation and what is priced in

2026E P/E

15.8x

\$8.58 consensus core EPS

EV / 2026E SALES

2.3x

Enterprise value about \$228B

EV / 2026E EBITDA

11.7x

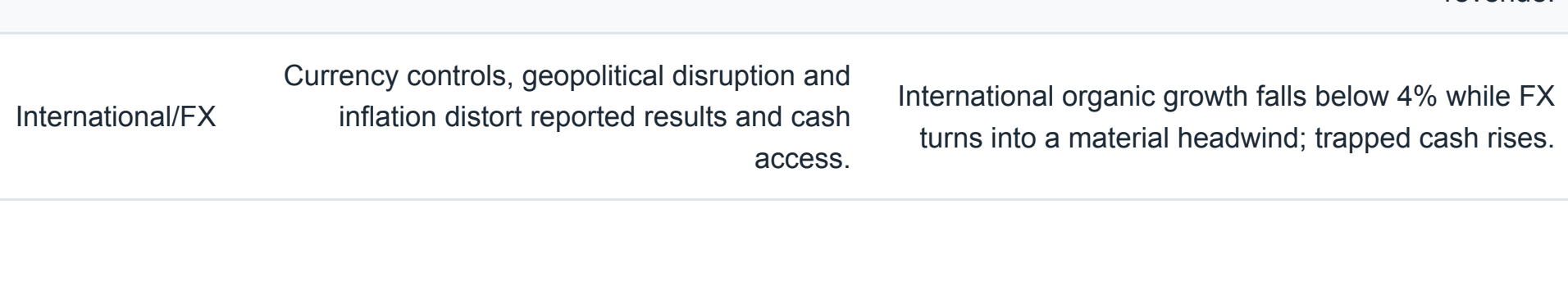
Consensus EBITDA \$19.4B

At \$135.46, the market is pricing PEP as a mature consumer franchise with mid-single-digit earnings growth, not as a structurally broken business. A 15.8x forward multiple can support respectable returns if core EPS compounds at 5%-6% and the dividend grows roughly in line. It is not enough protection if North America organic revenue remains negative and margin investment becomes permanent.

Reference price	2026E P/E	Dividend yield	Research use
\$120	14.0x	4.93%	High-margin-of-safety add zone if thesis intact
\$130	15.2x	4.55%	Measured accumulation threshold
\$135.46	15.8x	4.37%	Current: hold / modest accumulation
\$150	17.5x	3.95%	Requires visible North America improvement
\$170	19.8x	3.48%	Fuller valuation; reassess without faster growth

These are valuation reference bands, not point-price targets. They use the \$8.58 2026 consensus core EPS estimate and current annualized dividend; both can change.

8. Five-year forecast: bear, base and bull



Scenario mechanics

- Bear:** North America remains weak; affordability spending fails to restore share; productivity is absorbed by inflation.
- Base:** International stays mid-single-digit; North America stabilizes; the three-year productivity plan adds about 100 bps of margin.
- Bull:** North America volume and mix recover, permissible/functional innovation scales, and productivity drives clean operating leverage.

What must be true for the base case

- Companywide organic revenue stays within the 2%-4% long-term range.
- North America returns to at least flat-to-positive volume without materially sacrificing price/mix.
- Core operating margin expands toward 17% by 2030.
- Core EPS grows about 5%-6% and free-cash-flow conversion stays above 80%.
- Dividend growth remains sustainable at roughly 4%-6%.

Returns include estimated cumulative dividends through 2030 and assume no dividend reinvestment, taxes or transaction costs. Scenario values are analyst judgments, not consensus targets.

9. Risks, red flags and thesis falsifiers

Risk	Mechanism	Measurable falsifier
North America brand/value gap	Lower pricing and promotions compress margin without restoring volume or share.	PFNA or PBNA organic volume remains negative for 3 consecutive quarters into 2027.
Cash conversion and leverage	Capex, working capital, acquisitions and dividends keep debt elevated.	Full-year FCF conversion falls below 80% or net leverage rises above about 2.5x without a clear deleveraging plan.
Health/regulatory change	GLP-1 use, ultra-processed-food concerns, sugar/sodium rules or SNAP restrictions reduce demand.	Category volume declines accelerate and innovation fails to offset legacy-brand weakness.
Retailer/private label	Shelf-space pressure and retailer bargaining power erode price and mix.	Market-share losses persist despite affordability investment; Walmart concentration remains 14% of revenue.
International/FX	Currency controls, geopolitical disruption and inflation distort reported results and cash access.	International organic growth falls below 4% while FX turns into a material headwind; trapped cash rises.

10. Quarterly monitoring dashboard

KPI	Latest evidence	Healthy trajectory	Concern threshold
Organic revenue growth	2.4% Q2; 2.5% YTD	2%-4% or better	Below 2% for two quarters
PFNA volume	Flat Q2; +1% YTD	Positive with stable price/mix	Returns negative after affordability rollout
PBNA volume	-4% Q2; -3% YTD	Sequential improvement toward flat	Worse than -3% into 2027
International organic revenue	+7% Q2; +6% YTD	At least mid-single-digit	Below 4%
Core operating margin	16.8% Q2, -40 bps	Annual expansion toward +100 bps over 3 years	Persistent contraction after 2026 investment year
Free-cash-flow conversion	At least 80% 2026 guide	80%+ in 2026; 90%+ in 2027	Below 80%
Dividend growth / coverage	4% increase; \$5.92 annualized	4%-6% growth with coverage improving	Dividend growth funded by higher leverage

Decision hinge. The single most important signal is whether North America volume improves without a second leg down in core margin. The second is whether cash conversion improves enough to fund dividends, modest repurchases and debt reduction without relying on new borrowing.

11. Sources, assumptions and evidence confidence

Evidence confidence: **High**

Underwriting status: **Current**

Data cut-off: **Jul 20, 2026**

Reported historical figures come from audited SEC filings. Q2 2026 figures are unaudited. Company guidance is kept separate from market consensus and analyst scenarios. Current price and market capitalization are as of the July 20, 2026 close. Consensus estimates can move after publication.

Portfolio source. User-provided *retirement-portfolio (3)(1).xlsx*. The file shows 155 PEP shares, \$20,886.25 market value, \$21,213.35 cost basis and a 1.2939% portfolio allocation at a \$134.74 snapshot price. Market valuation sections use the independently verified \$135.46 close.

Primary and market sources

- [PepsiCo 2025 Form 10-K](#)
- [PepsiCo Q2 2026 Form 10-Q](#)
- [PepsiCo Q2 2026 earnings release](#)
- [PepsiCo Q2 2026 prepared remarks](#)
- [PepsiCo July 2026 dividend declaration](#)
- [PepsiCo 2023 Form 10-K](#)
- [Current quote and market data](#)
- [Consensus estimates and valuation](#)

This report is an analytical research opinion, not a guarantee of results or individualized tax/legal advice. Scenario values depend on assumptions that may not occur.